

The Five-Metric Architecture: Design Logic

The framework is built around a principle I'd call **layered falsifiability**: each metric is designed to expose a different way a company's apparent strength can be fictitious, and the five together create an almost airtight multi-dimensional test.

Why these five, in this order of weight

M-01 (ROIC–WACC Spread, 25%) and **M-02 (FCF Conversion, 25%)** share the highest weight because they test the two inviolable preconditions of a pension-grade equity: that capital is being productively employed *and* that profits are actually translating into cash. A company that fails either of these is destroying wealth, regardless of what its revenue growth or brand reputation looks like.

M-03 (FCCR + Net Debt/EBITDA, 20%) is the solvency safety net. The key architectural choice here was using the Fixed Charge Coverage Ratio rather than the simpler interest coverage — because post-IFRS 16, lease obligations are structurally equivalent to debt service for most European industrials and retailers, and ignoring them creates a false sense of coverage headroom. The mandatory stress-test at –20% EBITDA is what separates a pension-mandate filter from a generic equity screen.

M-04 (Sloan Accruals, 15%) is the forensic accounting signal. Its role is precise: to catch companies whose ROIC and FCF numbers look fine *because accruals are inflating them*, not because the underlying business is genuinely that good. This is especially relevant post-ESG screening, where the surviving universe skews toward certain sectors (Industrials, Technology) that are known high-accruals environments.

M-05 (EBITDA Margin CV, 15%) addresses the dimension none of the other four capture: *temporal stability*. A company can have excellent average ROIC, good cash conversion, and manageable leverage — but if its margins swing violently with commodity prices or the macro cycle, it is structurally incompatible with liability-driven investing. In an inflationary environment specifically, margin CV is the closest proxy for **pricing power** you can build from public financial data alone.

M-01 — ROIC–WACC Spread: confirmed by multiple real funds

Robeco — one of Europe's largest institutional asset managers with billions in pension fund mandates — explicitly states it defines financial quality by measuring how effectively a company uses its capital (ROIC) and uses FCF yield to maintain valuation discipline, noting that "earnings are an opinion, cash is a fact." [Robeco](#)

More strikingly, Fundsmith — the £25B long-only quality fund — explicitly states it wants to buy companies that have a higher ROIC than their WACC over long periods, and calls out that a company investing at low returns while having a high WACC "destroys value." That is your M-01, word for word. [Investinassets](#)

At Fundsmith's 2025 annual meeting, Terry Smith reported their portfolio had a Return on Capital Employed of 32% — roughly twice the index level — as a direct result of their quality filter. <https://steadycompounding.com/transcript/fundsmith25/>

M-02 — FCF Conversion: this is now a formal index product

S&P Dow Jones Indices launched the S&P Quality FCF Aristocrats Indices in September 2024 specifically to track companies with at least 10 consecutive years of positive FCF, scored on FCF Margin and FCF ROIC — exactly the two dimensions your M-02 covers. [ETF Stream](#)

There is a specific European version — the S&P Europe Quality FCF Aristocrats Index — applied to the S&P Europe LargeMidCap universe, which is comparable in scope to your STOXX 600 starting universe. [S&P Dow Jones Indices](#)

Fundsmith's cash conversion rate — defined as FCF / Net Income — has ranged between 95% and 102% over the last 8 years for its portfolio companies. This is almost exactly your M-02 Signal B threshold of $\geq 80\%$. [The Sovereign Investor](#)

M-03 — Interest Coverage / Leverage: a Fundsmith portfolio requirement

Fundsmith's 2025 metrics show interest cover of 27 $\times$ in their portfolio versus 9 $\times$ for the index — they use this specifically to confirm that portfolio companies are "very conservatively financed." Your FCCR $\geq 2.5\times$ is the conservative pension fund version of the same signal — tighter than the market, but less extreme than Fundsmith's growth-oriented mandate. [Steady Compounding](#)

Fundsmith's official fund criteria explicitly require businesses "which do not require significant leverage to generate returns" — this is the qualitative expression of your quantitative Net Debt/EBITDA ceiling. [Fundsmith](#)